

FORTRESS XMDR

Authorized Reseller / Managed Security Service Provider

BUSINESS PLAN & ROI ANALYSIS

Launching a Fortress-Powered MSSP Serving the SMB / SME Market

Prepared: August 2026

All financial figures in Indian Rupees (INR), converted at ₹95.5 / US\$1

1. Assumptions Used in This Plan

This plan models a funded small MSSP start-up (initial capital of approximately ₹2.5 crore / US\$260,000) operating as an authorized reseller of the Fortress XMDR platform, selling directly to SMB/SME customers rather than white-labeling. These were selected as reasonable defaults; every figure below can be rescaled linearly if your actual budget, team size, or ambition differs.

Currency note: all USD figures from the Fortress pricing deck have been converted at the mid-market rate of ₹95.5 = US\$1 (August 2026). Rupee figures are rounded to the nearest thousand for readability.

2. Executive Summary

The Fortress XMDR platform packages enterprise-grade endpoint, mail, web, identity and cloud protection — including autonomous, AI-driven mitigation via Merlin AI — into a single vendor-agnostic marketplace with zero up-front technology cost. This removes the two biggest barriers to entry for a new MSSP: the capital cost of building a SOC tech stack, and the headcount cost of running one manually.

This plan proposes launching a lean, technology-led MSSP that resells Fortress's Basic, Advanced and Premium tiers to SMB customers across the target region, layering on onboarding, account management and light customization. With an initial investment of ₹2.5 crore, the business is modelled to reach roughly 350 customers and ₹7.2 crore in annual revenue by Year 3, turning EBITDA-positive that same year, with cumulative investment payback expected during Year 4.

3. Market Opportunity

The underlying market problem, as framed by Fortress, is structural: every organization faces the same cyber risk, but SMBs lack the budget, headcount and expertise that large enterprises use to manage it, and most enterprise security tooling is not sold or priced for small quantities. This leaves a wide, underserved segment that a lean, platform-powered MSSP can address profitably.

- Advanced security tooling is largely unavailable or unaffordable to SMBs today
- There is a global shortage of security professionals, making a traditional in-house SOC hard to staff
- An overwhelming abundance of point products, each with its own console and "language", fragments visibility
- Fragmentation causes critical alerts to be missed — precisely the gap a consolidated MDR offering closes

4. Business Model

The firm operates as a Fortress reseller/MSSP: it purchases services through the Fortress marketplace at wholesale pricing, bundles them into simple customer-facing packages, and layers on onboarding, 24/7 monitoring oversight and account management. Fortress's "pick-n-play" marketplace, single licensing source,

zero-touch configuration and Merlin AI autonomous mitigation reduce the need for a large internal SOC team, which is the core lever that makes this business economically viable at small scale.

4.1 Revenue Model

Revenue is billed per customer as a monthly per-endpoint (or per-seat) fee across three tiers, mirroring the Fortress example pricing:

Tier	Price / endpoint / month (USD)	Price / endpoint / month (INR)	Core Inclusions
Basic	\$6.5	₹621	NextGen AV, EDR, Mail Protection, RMM, BYOT
Advanced	\$9	₹860	Everything in Basic + VMDR, Identity Protection, Brand Logo
Premium	\$23	₹2,197	Everything in Advanced + Security Awareness, Cloud Sandbox, MDR 24/7

Illustrative pricing per the Fortress example pricing plans; the firm's actual resale pricing should reflect its wholesale cost, margin target and local market positioning.

5. Go-to-Market Strategy

- Direct outbound + inbound to SMB owners and IT managers, positioning "enterprise security made easy" at a predictable monthly cost
- Partnerships with local IT support firms, accountants, insurers and business associations who touch SMBs regularly but do not sell security
- Self-service onboarding funnel: sign-up form → click-and-play marketplace selection → agent deployment → live dashboard, minimizing sales-engineering cost per deal
- Land-and-expand: start customers on Basic/Advanced, upsell to Premium (24/7 MDR) as trust and endpoint count grow
- Compliance-driven selling (cyber insurance requirements, vendor risk questionnaires) as a lead-generation trigger

6. Organizational Plan

Because Fortress's automation reduces manual SOC workload, the team stays lean relative to a traditional MSSP and grows mainly on the sales and customer-success side as the book of business scales.

Role	Year 1	Year 2	Year 3
Founder / GM	1	1	1

Role	Year 1	Year 2	Year 3
Sales / Business Development	2	4	6
SOC / Technical Engineers	2	3	4
Customer Success / Onboarding	1	2	3
Total Headcount	6	10	14

7. Financial Plan

7.1 Start-up Investment (₹2.5 crore)

Category	Amount (INR)	Amount (USD approx.)
Fortress platform onboarding & minimum commitment	₹25,00,000	\$26,200
Team hiring & Year-1 salary runway (loaded cost)	₹80,00,000	\$83,800
Sales & marketing launch spend	₹45,00,000	\$47,100
Office, tooling, insurance, compliance (SOC2/ISO27001 prep)	₹35,00,000	\$36,600
Founder / operations reserve	₹25,00,000	\$26,200
Working capital buffer	₹40,00,000	\$41,900
Total	₹2,50,00,000	\$261,800

7.2 Three-Year Growth Projections

Metric	Year 1	Year 2	Year 3
Customers (year-end)	60	180	350
Avg. endpoints / customer	20	22	25
Billed endpoints (year-end)	1,200	3,960	8,750
Avg. billed endpoints (annual average)	~700	~2,580	~6,350
Blended ARPU / endpoint / month	₹950	₹950	₹950

Blended ARPU reflects a customer mix weighted toward the Advanced tier with growing Premium (24/7 MDR) attach as accounts mature.

7.3 Profit & Loss Summary

Line Item (₹ Lakh)	Year 1	Year 2	Year 3	Year 4 (proj.)
Revenue	79.8	294.1	723.9	~1,100
Cost of Services (platform wholesale, ~42%)	33.5	123.5	304.0	~462

Line Item (₹ Lakh)	Year 1	Year 2	Year 3	Year 4 (proj.)
Gross Profit (~58% margin)	46.3	170.6	419.9	~638
Operating Expenses (team, sales, G&A)	160.0	260.0	370.0	~418
EBITDA	(113.7)	(89.4)	49.9	~220
EBITDA Margin	neg.	neg.	6.9%	~20%

Figures in ₹ Lakh (1 Lakh = ₹100,000). Parentheses denote a loss. Year 4 is directional, extrapolated at continued ~55–60% customer growth and improving operating leverage as the fixed SOC/engineering base is spread over more revenue.

7.4 Break-even & Cash Position

Metric	Year 1	Year 2	Year 3	Year 4 (proj.)
Annual EBITDA (₹ Lakh)	(113.7)	(89.4)	49.9	~220
Cumulative cash position vs. ₹250L investment	136.3	46.9	96.8	~317

The business turns EBITDA-positive in Year 3 and, on this trajectory, fully recovers cumulative invested capital during Year 4 — a payback period of roughly 3.5–4 years, which is in line with typical bootstrapped/lightly-funded MSSP start-ups.

8. ROI Analysis

8.1 Operating Payback

- Initial investment: ₹2.5 crore
- Cumulative EBITDA breakeven: during Year 4
- Payback period: ≈ 3.5–4 years from launch

8.2 Investor / Exit-Value ROI (illustrative)

MSSPs are commonly valued on a revenue or EBITDA multiple. Applying a conservative 1.5x trailing revenue multiple to Year-3 revenue of ₹7.24 crore implies an indicative enterprise value of roughly ₹10.9 crore against ₹2.5 crore invested — a paper return of approximately 4.3x within three years, before accounting for dilution from any follow-on funding round.

Valuation Basis	Year 3 Value	Multiple on ₹2.5 Cr Invested
1.0x trailing revenue	₹7.24 Cr	2.9x
1.5x trailing revenue	₹10.86 Cr	4.3x
8x trailing EBITDA	₹3.99 Cr	1.6x

Illustrative only — actual multiples depend on growth rate, retention, gross margin and buyer appetite at exit; MSSP multiples have historically ranged roughly 1–2x revenue or 6–10x EBITDA depending on scale and recurring-revenue quality.

9. Key Risks & Mitigations

Risk	Mitigation
Customer acquisition slower than modelled	Lean fixed cost base (thanks to platform automation) extends runway; partner channel reduces CAC
Margin compression from wholesale platform pricing	Negotiate volume-tiered wholesale rates as endpoint count scales; increase Premium/MDR mix
Key-person / hiring risk in a tight security-talent market	Rely on Merlin AI automation to keep the SOC team small and roles more standardized
Customer churn in a price-sensitive SMB segment	Annual/2–3 year contract incentives already supported by the Fortress licensing model; strong onboarding
Platform/vendor concentration risk (single supplier)	Multi-vendor marketplace within Fortress itself provides some diversification of underlying technology

10. Next Steps

- Finalize wholesale pricing and minimum commitment terms directly with Fortress
- Confirm target geography, initial vertical focus, and local compliance requirements
- Build a detailed 12-month hiring and cash-flow plan from the assumptions above
- Stand up the self-service onboarding funnel and first 2–3 channel partnerships

This plan uses illustrative assumptions (team size, growth rate, margin) that should be validated and adjusted with actual Fortress wholesale pricing, local salary benchmarks and a realistic sales pipeline before being used to raise capital.